

CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION**CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET B — ADVANCED HOTS & ANALYTICAL THINKING****CHAPTER 09: THE PRICE PUZZLE: WHAT DRIVES THE MARKET**

TIME ALLOWED: 45 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-B-09

Student's Name: _____

Roll No.: _____

Class & Section: Class IX - _____

Date of Exam: _____

Invigilator's Sign: _____

General Instructions (SET B - Advanced HOTS & Analytical Thinking):

1. The question paper comprises **25 Higher Order Thinking Skills (HOTS) Questions of 1 mark each.**
2. Designed to test **deep causal reasoning, critical source evaluation, constitutional mechanics, and economic analysis.**
3. All questions are compulsory. There is no negative marking for incorrect answers.
4. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

 **ADVANCED HOTS INSTRUCTIONS:** Carefully analyze the socio-historical contexts, geomorphic cause-and-effect relationships, and constitutional principles before selecting your answer.

Q.1 Why does a normal individual demand curve slope downward from left to right according to the Law of Demand?

- (A) The Law of Diminishing Marginal Utility (each additional unit yields less satisfaction), coupled with the income and substitution effects of a price change
- (B) Because consumers prefer to pay higher prices for ordinary goods
- (C) Because producers legally mandate downward sloping curves
- (D) Because money loses all value as prices fall

Q.2 What is the analytical difference between a 'change in quantity demanded' and a 'change in demand'?

- (A) A change in quantity demanded is a movement along a fixed demand curve caused solely by a change in the good's own price; a change in demand is a shift of the entire curve caused by non-price factors (income, tastes, related goods)
- (B) A change in quantity demanded applies only to factories; a change in demand applies only to shops
- (C) Both terms denote identical physical concepts and can be used interchangeably
- (D) A change in demand is always vertical; a change in quantity demanded is always horizontal

Q.3 If the price of crude oil increases sharply, what simultaneous effect will this have on the market for alternative electric scooters?

- (A) Because petrol and electric scooters are substitute modes of urban transport, the demand curve for electric scooters will shift to the right, raising their equilibrium price and quantity
- (B) The demand for electric scooters will immediately drop to zero
- (C) Electric scooter factories will permanently shut down
- (D) The price of electric scooters will drop to zero

Q.4 What happens in a competitive market if the government imposes a statutory 'Price Ceiling' on life-saving medicines below the market equilibrium price?

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|---|---|
| (A) Quantity demanded exceeds quantity supplied, creating an artificial shortage, long waiting queues, and the emergence of black-market hoarding | (B) Producers flood the market with unlimited free medicines for all citizens |
| (C) The market achieves perfect harmony without any shortages | (D) Pharmacies expand production ten-fold immediately |

Q.5 How does the implementation of a 'Minimum Support Price' (MSP) acting as a binding price floor above the equilibrium price affect the agricultural crop market?

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|--|---|
| (A) Quantity supplied exceeds quantity demanded, creating a crop surplus that requires the government to procure and store the unsold buffer stock | (B) A severe food shortage occurs, causing widespread consumer starvation |
| (C) Farmers stop growing the crop completely | (D) Market prices drop to zero immediately |

Q.6 Why is the price elasticity of demand for essential commodities like cooking salt or insulin highly 'inelastic' ($|E_d| < 1$)?

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| (A) They are vital necessities with virtually no close substitutes, and consumer purchases cannot be easily postponed even if prices double | (B) They are luxury prestige items purchased only by millionaires |
| (C) Consumers can easily stop consuming salt for ten years without harm | (D) Salt is manufactured out of thin air without cost |

Q.7 If an economy experiences a technological breakthrough that slashes the production cost of solar panels by 50%, what will be the resulting market shift?

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| (A) The supply curve for solar panels will shift to the right, lowering the equilibrium market price and expanding the equilibrium quantity traded | (B) The supply curve will shift to the left, causing prices to skyrocket |
| (C) Consumers will refuse to purchase solar panels completely | (D) The demand curve will turn vertically upside down |

Q.8 Two goods, Car and Petrol, are 'Complementary Goods'. If the excise tax on petrol is raised significantly, what will happen to the demand for cars?

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|--|---|
| (A) The demand curve for cars will shift to the left, lowering the equilibrium price and quantity of cars sold | (B) The demand for cars will double immediately |
| (C) Every household will purchase five cars | (D) Car manufacturing costs will drop to zero |

Q.9 What is 'Consumer Surplus' in microeconomic market analysis?

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| (A) The difference between the maximum price a consumer is willing to pay for a good and the actual market price they pay | (B) The total quantity of unsold rotten food thrown away by supermarkets |
| (C) A special financial penalty tax levied on consumers who buy goods | (D) The total amount of money a consumer borrows from a bank |

Q.10 What is 'Producer Surplus' in a competitive market?

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|---|---|
| (A) The difference between the market price a producer receives and the minimum marginal cost at which they were willing to supply the good | (B) The unsold excess inventory left in a factory warehouse after closing |
| (C) A legal fine paid by factory owners for polluting rivers | (D) The total debt owed by a factory to financial institutions |

Q.11 If both market demand increases (shifts right) and market supply decreases (shifts left) simultaneously, what can be predicted with certainty about the new market equilibrium?

- (A) The equilibrium price will definitely rise, while the change in equilibrium quantity depends on the relative magnitudes of the two shifts
- (B) The equilibrium price will definitely drop to zero
- (C) The equilibrium quantity will definitely double
- (D) Both price and quantity will remain completely unchanged

Q.12 What is an 'Inferior Good' in economic demand analysis?

- (A) A good whose demand decreases as consumer household income rises (such as coarse millets or low-end public bus transport), as consumers switch to superior substitutes
- (B) A defective, broken good that cannot be used by anyone
- (C) A good that is legally banned by the Supreme Court
- (D) A luxury sports car driven only by billionaires

Q.13 In a market characterized by 'Monopolistic Competition' (like the shampoo, toothpaste, or clothing retail markets), what is a key feature?

- (A) Many competing sellers offering differentiated products (brand names, packaging, features) with relatively easy market entry and exit
- (B) A single firm controlling 100% of national supply with zero competitors
- (C) All products are completely identical and sold in unlabelled bags
- (D) Prices are fixed by international military treaty

Q.14 Why does a competitive market naturally eliminate a temporary shortage without requiring government rationing orders?

- (A) Frustrated buyers bid up prices, and the rising price simultaneously dampens quantity demanded and incentivizes producers to expand output until equilibrium is restored
- (B) Buyers give up all desire for goods and become forest hermits
- (C) Producers burn their factories down to prevent shortages
- (D) Shortages are eliminated by printing more paper currency

Q.15 What is a 'Natural Monopoly' in industrial economics?

- (A) An industry (like municipal water piped networks or electricity distribution grids) where huge fixed infrastructural costs mean a single firm can supply the entire market at lower average cost than multiple competing firms
- (B) A company that sells wild forest mushrooms and honey only
- (C) A firm that is owned entirely by wild animals
- (D) A market where prices change every millisecond

Q.16 How does 'predatory pricing' practiced by a deep-pocketed corporate monopoly harm long-term consumer welfare?

- (A) The firm temporarily prices goods below cost to drive smaller competitors into bankruptcy, then leverages its unchallenged monopoly to raise prices and exploit consumers
- (B) It gives free products to consumers forever without any price hikes
- (C) It forces all competitors to merge into a cooperative society
- (D) It eliminates all profits from corporate banking

Q.17 What does a perfectly elastic supply curve ($E_s = \infty$) look like on a standard price-quantity graph?

- (A) A completely horizontal straight line parallel to the quantity axis
- (B) A completely vertical straight line parallel to the price axis
- (C) A diagonal line passing through the origin at 45 degrees
- (D) A circle drawn in the center of the graph

Q.18 Why do governments impose excise taxes on goods with highly inelastic demand (like cigarettes and alcohol)?

- (A) Consumers continue purchasing despite tax-induced price increases, allowing the government to collect reliable fiscal revenues while discouraging consumption
- (B) Because consumers will completely stop buying cigarettes instantly
- (C) Because cigarette companies print their own currency notes
- (D) Because taxes are forbidden on luxury sports cars

Q.19 What is 'Deadweight Loss' caused by distortionary market interventions (like excessive taxes or price controls)?

- (A) The net loss of total societal economic welfare (consumer and producer surplus) that is not captured by anyone as government revenue or private gain
- (B) The weight of physical iron cargo transported by freight trains
- (C) The loss of human life during geological earthquakes
- (D) A special fee paid to commercial cargo ships

Q.20 How does advertising influence consumer demand in a modern branded consumer goods market?

- (A) It shapes consumer preferences and perceived brand utility, shifting the demand curve to the right and making demand more price-inelastic
- (B) It forces consumers to stop purchasing all branded goods
- (C) It makes the supply curve completely vertical
- (D) It eliminates all manufacturing costs for factory owners

Q.21 What is the primary function of commodity futures markets and warehousing for agricultural crops?

- (A) To allow farmers and traders to hedge against volatile seasonal price fluctuations, smoothening supply across post-harvest glut and pre-harvest lean seasons
- (B) To destroy unsold crops to keep prices high in city supermarkets
- (C) To force farmers to give away free crops to urban consumers
- (D) To ban all physical trade in foodgrains across states

Q.22 Why does a cartel of competing producers (like OPEC in oil markets) often struggle to maintain artificially high prices in the long run?

- (A) Individual members face strong economic incentives to secretly cheat on their output quotas to earn higher profits, and high prices spur outside substitute competition
- (B) Cartels are mandated to dissolve by planetary gravitational laws
- (C) Consumers are legally prohibited from purchasing oil
- (D) Oil never burns in modern industrial machinery

Q.23 What economic phenomenon is described by 'Veblen Goods' (conspicuous consumption luxury goods like luxury diamond watches or designer sports cars)?

- (A) An apparent exception to the Law of Demand where wealthy consumers demand higher quantities as the price rises because the extreme price signals elite social status and prestige
- (B) Goods that are sold exclusively to children in school playgrounds
- (C) Goods that have zero price and are distributed for free
- (D) Goods that decompose into dust within five minutes of purchase

Q.24 How does the entry of new competitive firms into a profitable industry restore long-run economic equilibrium?

- (A) New entrants expand total market supply, driving down the market price until supernormal economic profits are competed away to normal profit levels
- (B) New entrants force all existing factories to be demolished by law
- (C) New entrants cause market prices to rise to infinity
- (D) New entrants cause consumers to stop buying the product completely

Q.25 In summary, what does Adam Smith's concept of the 'Invisible Hand' demonstrate about competitive market prices?

- (A) When individuals freely pursue their enlightened self-interest under competitive market rules, the price system coordinates decentralized actions to efficiently satisfy societal needs
- (B) A literal invisible physical giant moves goods across city streets
- (C) Markets can only function if a dictator directs every worker's daily tasks
- (D) Competitive markets naturally result in zero production of all goods

CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET B)

01	☐ A ☐ B ☐ C ☐ D	02	☐ A ☐ B ☐ C ☐ D	03	☐ A ☐ B ☐ C ☐ D	04	☐ A ☐ B ☐ C ☐ D	05	☐ A ☐ B ☐ C ☐ D
06	☐ A ☐ B ☐ C ☐ D	07	☐ A ☐ B ☐ C ☐ D	08	☐ A ☐ B ☐ C ☐ D	09	☐ A ☐ B ☐ C ☐ D	10	☐ A ☐ B ☐ C ☐ D
11	☐ A ☐ B ☐ C ☐ D	12	☐ A ☐ B ☐ C ☐ D	13	☐ A ☐ B ☐ C ☐ D	14	☐ A ☐ B ☐ C ☐ D	15	☐ A ☐ B ☐ C ☐ D
16	☐ A ☐ B ☐ C ☐ D	17	☐ A ☐ B ☐ C ☐ D	18	☐ A ☐ B ☐ C ☐ D	19	☐ A ☐ B ☐ C ☐ D	20	☐ A ☐ B ☐ C ☐ D
21	☐ A ☐ B ☐ C ☐ D	22	☐ A ☐ B ☐ C ☐ D	23	☐ A ☐ B ☐ C ☐ D	24	☐ A ☐ B ☐ C ☐ D	25	☐ A ☐ B ☐ C ☐ D

Total Questions Attempted: ____ / 25

Marks Obtained: ____ / 25

Evaluator's Signature: _____

OFFICIAL ANSWER KEY & STEP-BY-STEP EXPLANATIONS (SET B)

Q. No.	Correct	Curricular Reference & Analytical Rationale
Q.1	(A)	Falling prices induce consumers to substitute away from expensive alternatives (substitution effect) and enhance real purchasing power (income effect), while diminishing marginal utility lowers reservation prices.
Q.2	(A)	Own-price changes cause movements along the demand curve ($P \rightarrow Q$); shifts in income, preferences, or substitute prices shift the entire schedule left or right.
Q.3	(A)	Substitutes have positive cross-price elasticity: rising operating costs for petrol vehicles drive consumers toward electric alternatives, shifting electric scooter demand right.
Q.4	(A)	A binding price ceiling ($P_{\text{cap}} < P_{\text{eq}}$) creates excess demand (shortage) and disincentivizes manufacturers, breeding illicit black markets and rationing queues.
Q.5	(A)	A binding price floor ($P_{\text{MSP}} > P_{\text{eq}}$) induces farmers to produce more than consumers buy at that price, resulting in a surplus that state agencies (FCI) must buy.
Q.6	(A)	Necessities lacking close substitutes exhibit price-inelastic demand: consumers must buy them to survive, showing low sensitivity to price fluctuations.
Q.7	(A)	Cost-reducing technology shifts the marginal cost curve down and market supply right ($S_1 \rightarrow S_2$), driving down equilibrium price and expanding adoption.
Q.8	(A)	Complements exhibit negative cross-price elasticity: costlier petrol raises the total cost of car ownership, suppressing demand for cars (leftward shift).
Q.9	(A)	Consumer surplus is the area beneath the demand curve and above the market price, representing the net psychological and economic welfare gained by consumers.
Q.10	(A)	Producer surplus is the area above the supply curve and below the equilibrium price line, reflecting producer revenue over marginal production costs.
Q.11	(A)	Both forces exert upward pressure on price (higher demand bids price up; restricted supply drives price up); quantity effects oppose each other and depend on shift magnitudes.
Q.12	(A)	Inferior goods possess negative income elasticity ($E_Y < 0$): rising household purchasing power allows consumers to upgrade to superior goods (e.g., from coarse grain to basmati rice).
Q.13	(A)	Monopolistic competition blends competition (many sellers, free entry) with monopoly power over brand differentiation (advertising, packaging, distinct features).
Q.14	(A)	The invisible hand of the price mechanism rations scarce goods: rising prices incentivize supply expansion while trimming marginal demand back to balance.
Q.15	(A)	Natural monopolies exhibit immense economies of scale across the relevant market range; duplicating water mains or power lines across streets would be wastefully duplicative.
Q.16	(A)	Predatory pricing is an anti-competitive practice: taking short-term losses to extinguish competition, followed by monopolistic price gouging once market entry barriers rise.
Q.17	(A)	Perfect elasticity ($E_s = \infty$) is represented by a horizontal line: producers will supply infinite quantity at that price, but zero quantity below it.
Q.18	(A)	Inelastic demand experiences minimal quantity contraction when taxed, minimizing deadweight loss and yielding dependable excise revenues for public health programs.
Q.19	(A)	Deadweight loss represents allocative inefficiency: transactions that would have generated mutual welfare benefits are prevented by price wedges or quotas.

Q. No.	Correct	Curricular Reference & Analytical Rationale
Q.20	(A)	Persuasive marketing enhances perceived differentiation, shifting consumer demand rightward and reducing brand sensitivity to rival price discounts.
Q.21	(A)	Warehousing and futures contracts facilitate inter-temporal price smoothing: storing post-harvest gluts for release during lean months protects farmer margins and consumer prices.
Q.22	(A)	Cartels suffer the prisoner's dilemma: each member has an incentive to covertly overproduce, and elevated prices incentivize renewable energy and non-cartel drilling.
Q.23	(A)	Conspicuous consumption goods derive utility from exclusivity: high prices signal social status, leading prestige-seeking consumers to purchase more at higher prices.
Q.24	(A)	In competitive markets, positive economic profits attract new entrants; the resulting supply expansion ($\$S \rightarrow S'\$$) depresses prices until firms earn normal profit.
Q.25	(A)	Adam Smith showed that decentralized price signals harmonize individual profit-seeking with social resource allocation, without requiring an omnipresent central planner.